Policy FAQs

How do CPF interest rates compare with other countries' pension systems?

CPF interest rates are fair and attractive.

Your CPF savings earn up to 3.5% per year in the Ordinary Account and up to 5% per year in the Special, MediSave and Retirement Accounts on the first $60,000 of combined CPF balances. Members aged 55 and above get an extra 1% on the first $30,000 of their combined CPF balances (i.e. up to 6% per year). You do not bear any investment risk on your CPF savings.

In comparison, citizens in some other countries have to choose their own pension investment plan and expose their retirement savings to market risks. Their retirement nest egg could be affected during a financial crisis or sustained period of low interest rates.

Nevertheless, if you are a financially-savvy member who wishes to invest your CPF savings for higher returns and are willing to bear the investment risk, you may do so through the CPF Investment Scheme.